

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

MARINE TRANSPORT LOGISTICS, INC., *Complainant*

v.

CMA CGM, S.A., *Respondent*.

DOCKET NO. 22-23

Served: October 30, 2024

ORDER OF: Mary A. HERVEY, *Administrative Law Judge*.

ORDER ON RESPONDENT'S MOTION TO STRIKE

On July 3, 2024, Respondent CMA CGM, S.A. ("CMA") filed Respondent's Motion to Strike the new argument and evidence submitted by Complainant Marine Transport Logistics, Inc. ("MTL") at page 8 of the Reply Brief of Complainant and attached Exhibits 55, 56, and 57, filed on June 27, 2024 ("Motion"). CMA argues that page 8 of the reply brief and attached exhibits constitute improper "sandbagging" that should be stricken because they contain argument and evidence raised for the first time on reply and outside the deadlines imposed by the scheduling order. In the alternative, CMA requests leave to file a surreply. On July 10, 2024, MTL filed its Opposition to CMA's Motions to Strike. For the reasons set forth below, CMA's Motion is granted and the new argument raised at page 8 of MTL's reply brief related to lost business profits and Exhibits 55, 56, and 57 are stricken.

As an initial matter, the parties disagree as to whether or not they conferred in advance of the Motion being filed as required by regulation. In this regard, 46 C.F.R. ¶ 502.71 sets forth the procedure for non-dispositive motions. It states in pertinent part:

- (a) Duty to confer. Before filing a non-dispositive motion as defined in § 502.69(g) of this subpart, the parties must attempt to discuss the anticipated motion with each other in a good faith effort to determine whether there is any opposition to the relief sought and, if there is opposition, to narrow the areas of disagreement. The moving party must state within the body of the motion what attempt was made or that the discussion occurred and whether the motion is opposed.

As such, the parties were required to confer in advance and attempt to resolve their dispute, and, if not possible, attempt to narrow disputed issues. CMA counsel asserts that he conferred with opposing counsel and that MTL counsel opposed the motion. Motion at 1. MTL asserts CMA counsel contacted him in advance but rejected his offer to confer on the morning of July 2, 2024,

and indicated that the motion was opposed despite that no conference occurred. Response to CMA's Motion to Strike at 1.

The email exchange described by MTL counsel in its opposition does not satisfy the requirement to confer in advance of filing a non-dispositive motion. Despite this fact, the motion will not be rejected for failure to meet this procedural requirement because the undersigned finds that the parties would have been unable to resolve or narrow the issues given the nature of the dispute, namely that MTL "sandbagged" CMA by raising new arguments and evidence for the first time in MTL's Reply Brief. Additionally, waiving this procedural requirement will promote prompt and expeditious administration of the proceeding.

MTL argues in its reply brief that CMA's admission that it did not produce certain emails during discovery entitles MTL to a negative inference that the only reason CMA did not load containers in Constanza and release them in Bremerhaven was to collect demurrage fees and not for the reason stated, namely processing numerous rerouting containers. MTL also argues that evidence shows the CMA imposed this same practice on other shippers. MTL also argues it could not raise this issue earlier because CMA did not provide more than 20,000 documents until the final day of discovery on April 16, 2023. MTL argues that CMA's actions were unreasonable because its demurrage, detention, and storage practices were intended to increase revenue and not to promote the movement of cargo. Finally, MTL argues for the first time on reply that it is entitled to damages in the form of lost profits, and that a business owner is competent to provide testimony on the issue of lost profits. This final argument is contained at page 8 of MTL's reply brief and is the argument that CMA moves to have stricken.

As to the exhibits attached to MTL's reply brief, MTL states that Exhibit 55 is a transaction report containing income and expenses of a client that MTL claims to have lost as a result of CMA's unreasonable practices and relates to the deposition testimony by an MTL witness on the loss of a customer and potential business based on the profit and loss statement provided. MTL states that Exhibit 56 is a profit statement from a second client that it claims to have lost as a result of CMA's actions. MTL states that Exhibit 57 is a certification as to the authenticity of Exhibits 56 and 57.

In general, parties are required to raise all of their arguments in an opening brief to prevent "sandbagging" that deprives the opposing party of the opportunity to respond, and not doing so constitutes a waiver of the arguments not raised in the opening brief. *Corson and Gruman Company v. National Labor Relations Board*, 899 F.2d 47, 51 n.4 (D.C. Cir. 1990) (citing *Reyes-Arias v. INS*, 866 F.2d 500, 504 n.2 (D.C. Cir. 1989)). Where, as the case is here, new arguments are raised for the first time on reply it is appropriate to decline to hear those arguments. *Ner Tamid Congregation of N. Town v. Krivoruchko*, 620 F.Supp.2d 924, 929 (N.D.Ill.2009); see also *Autotech Techs. Ltd. P'ship v. Automationdirect.com Inc.*, 235 F.R.D. 435, 437 (N.D.Ill.2006).

In this case, the record shows that MTL failed to produce lost profit evidence during discovery despite being requested to do so. In the Order on Motions to Compel dated January 31, 2024, MTL was directed to provide "complete responses regarding the calculation of its injury" in responses to Interrogatories 30, 31, 32, 33, despite that MTL argued that Alla Solovyeva would be produced to testify on this point at deposition. Order at 6. At her

deposition, Alla Solovyeva denied knowledge of information regarding MTL's profits for 2020 and 2023, and MTL's counsel refused CMA's request to produce federal tax returns for 2020 through 2023 from which profit information could be obtained. Rather, in response to the question asking whether or not MTL had lost profits as a result of the alleged Shipping Act violations, Ms. Solovyeva, the principal owner of MTL, testified only that MTL "lost customer and potential business." RX 2 (Solovyeva Deposition) at 16:5-16, 237:4- 240:8.

Despite that MTL's Verified Amendment Complaint filed December 9, 2022, seeks "actual and consequential damages, including loss of business to MTL in the amount of \$600,000," the Brief of Complainant filed May 14, 2024, does not address how the damages it claims to have been sustained are to be calculated. Moreover, neither MTL's appendices nor its proposed findings of fact filed the same date contain any information about the computation of damages or lost profits.

Because MTL failed to argue that it sustained lost business profits or submit evidence of lost profits until it filed its reply brief, the portions of the brief and evidence relating to lost profits should be stricken in the absence of good cause for not submitting it earlier. In support of permitting new argument and evidence on reply, MTL argues that it should be permitted to do so because CMA produced 20,000 documents on the final day of discovery on April 16, 2023. Although MTL does not elaborate as to why this justifies the late submission of new argument and evidence, it is likely that MTL is arguing that it needed additional time to review this evidence prior to the deadline for filing its brief, proposed findings of facts, and exhibits on May 15, 2024. Regardless of the validity of this argument, the record shows that MTL failed to move to extend the applicable deadlines on this basis and thereby waived any claim that it had insufficient time to comply with the deadlines in the scheduling order.

Based on this record, the undersigned finds that Complainant's Reply Brief and attached exhibits are improper to the extent they contain argument and exhibits regarding lost profits raised for the first time on reply and not in the opening brief as required. Accordingly, Respondent's Motion is GRANTED. The last five paragraphs of page 8 of the Reply Brief of Complainant and attached Exhibits 55, 56, and 57 filed June 27, 2024, are STRICKEN from the record. This order does not impact the remainder of the argument set forth in the Reply Brief of Complainant.

Mary A. Hervey -S Digitally signed by Mary A.
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Mary Apostolakos Hervey
Administrative Law Judge